

**BEFORE THE DISTRICT CONSUMER DISPUTES REDRESSAL COMMISSION,
PUNE
CC/441/2025**

Sunita Deshpande

... *COMPLAINANT*

VERSUS

Sanchay Life Insurance Company Limited

... *OPPOSITE PARTY*

WRITTEN VERSION ON BEHALF OF THE OPPOSITE PARTY

1. The Opposite Party is a life insurance company registered under Section 3 of the Insurance Act, 1938 and the relevant provisions of the Companies Act, 2013.
2. The averments herein are made in the alternative and without prejudice to one another; the Opposite Party reserves the right to amend this reply and to file evidence by affidavit at a later stage.
3. It is admitted that Policy No. SLIC-4471-208833 was issued for a sum assured of Rs. 12,00,000 and that three annual premiums were received.
4. It is denied that the claim was wrongly repudiated. The Opposite Party's investigation revealed a pre-existing hypertension diagnosis not disclosed in the Proposal Form.
5. It is denied that the field relating to hypertension was merely left blank for want of any diagnosis; the Opposite Party's position is that the blank itself amounts to a failure to make full and true disclosure.
6. The Opposite Party denies that there has been any deficiency in service or unfair trade practice on its part.
7. It is denied that...
8. The Opposite Party prays that the complaint be dismissed with costs.

B. ADDITIONAL FACTS AND CONTENTIONS OF THE OPPOSITE PARTY

9. The Opposite Party states that every proposer for a policy of life insurance owes a duty of utmost good faith (*uberrima fides*) to the insurer, and that an unanswered material question in a Proposal Form is itself a breach of that duty, irrespective of whether the underlying fact is separately proved to exist.
10. Without prejudice to the foregoing, the Opposite Party's Investigator, M/s Veritas Claims Investigators, Pune, visited the family of the Life Assured and the treating hospital, and reported a note attributed to the treating physician recording a diagnosis of hypertension, a copy of which report has been filed along with this Written Version.
11. The Opposite Party denies that the claim was repudiated arbitrarily or belatedly. The claim was intimated on 22.02.2025 and repudiated on 10.06.2025, well within the timelines prescribed under the applicable IRDAI (Protection of Policyholders' Interests) Regulations for investigation of death claims.
12. The Opposite Party denies paragraph 8 of the Complaint and states that it acted bona fide on the basis of the Investigator's professional findings, and that no deficiency in service or unfair trade practice can be attributed to a repudiation founded on such an investigation.

13. The Opposite Party relies upon Clause 14 of the Policy Wording (Annexure A-2 to the Complaint), which entitles it to repudiate a claim where a material question in the Proposal Form has been left unanswered, and craves leave to refer to and rely upon an extract of the said clause, annexed hereto as Annexure R-1.
14. The Opposite Party further craves leave to refer to and rely upon its contemporaneous underwriting file note relating to the proposal, annexed hereto as Annexure R-2, which records that the proposal was processed and accepted in the ordinary course as a non-medical case.
15. The Opposite Party denies that any compensation for mental agony or harassment, or any costs, are payable, the repudiation having been made in the bona fide exercise of its contractual rights under the Policy.
16. The Opposite Party denies each and every other allegation made in the Complaint not specifically dealt with above as if the same were set out here and denied seriatim.

VERIFICATION

I, the Authorised Representative of the Opposite Party, verify that the contents of paragraphs 1 to 16 above are true and correct to the best of my knowledge derived from the records of the Opposite Party.

Verified at Mumbai on this the day of September, 2025.

For Sanchay Life Insurance Company Limited
(Authorised Representative, Claims Department)

Mr. Abhishek Bhatnagar, Advocate for the Opposite Party
Enrolment No. UP/7932/2000

ANNEXURES RELIED UPON BY THE OPPOSITE PARTY

Annexure	Description
R-1	Extract of Policy Wording — Duty of Disclosure Clause
R-2	Underwriting File Note dated 25.04.2022

ANNEXURE R-1 -- POLICY WORDING EXTRACT: DUTY OF DISCLOSURE

EXTRACT FROM THE POLICY WORDING — DUTY OF DISCLOSURE

"The Proposer/Life Assured is under a duty to disclose every material fact within his knowledge that may influence the Company's decision to accept the risk proposed. Failure to answer, or an incomplete or evasive answer to, any question in the Proposal Form shall be treated as a failure of this duty and shall entitle the Company to repudiate any claim arising under the Policy, whether or not the fact concealed is separately established to the Company's satisfaction."

(Extract from Clause 14 of the Policy Wording annexed as Annexure A-2.)

ANNEXURE R-2 -- UNDERWRITING FILE NOTE

Note Date: 25.04.2022
Prepared By: Ms. Anjali Rao, Senior Underwriter
Policy No.: SLIC-4471-208833

Internal underwriting file note recorded at the time of processing the proposal: the medical history field relating to hypertension was noted to have been left unanswered by the proposer. As the proposed sum assured fell within the non-medical limit applicable to the plan, the proposal was accepted without a requisition for medical examination or a query to the proposer on the unanswered field, and the Policy was issued in the ordinary course.